

Individual Case Study

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Q1. Is the Xbox Game Pass model a success? Based on the metrics and your assessment of the future of the gaming market, will it continue to drive growth and profits for Microsoft?

Is Xbox Game Pass a success?

From the case, Numbers to use:

- 25 million subscribers by January 2022
- 2.9 billion revenue in 2021
- About **20% of Xbox's total revenue**
- Game Pass members:
 - played **40% more titles**
 - played **30% more genres**
 - spent **50% more on games**
 - spent **2.8x more on in-game purchases**
- Existing games joining Game Pass increased player numbers **8.3x**
- Independent games launched on Game Pass saw **15x more players**
- Subscriber growth was slowing:
 - 2021 target: **48%**, actual: **37%**
 - 2022 target: **73%**, actual: **28%**
- Phil Spencer expected Game Pass to remain around **15% of Xbox content/services revenue**, rather than becoming the dominant model.

After reading and analyzing the case, I would say yes, **Game Pass is a successful business model, but it has limitations as a long-term growth engine.**

The strongest argument FOR its success is that it has generated significant revenue while increasing engagement. Customers aren't just subscribing and doing nothing, they're playing more games and spending more money.

The biggest concern is that growth **is slowing down**. The case shows that Microsoft was missing its subscriber-growth targets by a pretty large margin.

In sum, Xbox Game Pass can be considered a success because it generated \$2.9 billion in revenue in 2021 and had 25 million subscribers by January 2022. It also increased customer engagement, with members playing more games and spending more on games and in-game purchases. However, I do not think the subscription model alone will continue to drive the same

level of growth because subscriber growth was already falling below Microsoft's expectations. I think Game Pass will continue to be profitable, but Microsoft will need to find additional ways to grow the service, such as expanding its audience or improving retention.

Q2. Based on the revenues and retention rates of the gamer categories of Whales, Dolphins, and Minnows projected in the case, calculate the incremental gains that Microsoft could expect by adopting the proposed usage-based pricing plan. What are your insights and recommendations based on your revenue modeling? How can Microsoft mitigate the risks of moving to the usage-based model?

Exhibit 1: Proposed Usage-Based Pricing Plan for Xbox Game Pass

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	Silver Tier	Gold Tier	Platinum Tier
Target segment	Minnows	Dolphins	Whales
% Current Xbox subscribers	75%	15%	10%
Average usage level	4 sessions/wk x 60 mins/session = 1,000 mins/month	8 sessions/wk x 60 mins/session = 2,000 mins/month	20 sessions/wk x 90 mins/session = 7,200 mins/month
Current subscription price	\$14.99/month	\$14.99/month	\$14.99/month
Current price/minute	1.5 cents/minute	0.75 cent/minute	0.2 cent/minute
Proposed usage-based price	\$9.99/month	\$24.99/month	\$39.99/month
Proposed monthly usage limit	1,000 minutes	3,000 minutes	Unlimited
Proposed price/minute	1 cent/minute	0.83 cent/minute	0.55 cent/minute (at 7,200 minutes)
Proposed price/minute over usage limits	0.5 cent/minute	0.5 cent/minute	None
Additional benefits	None; limited to 100 game titles	Expanded catalog Exclusive first-party titles VIP Tier 1 benefits	Largest catalog Exclusive first- and third-party titles Pre-release exclusive window VIP Tier 2 benefits (e.g., battle passes, IAP offers, Boosts) Support hotline

Source: Created by the author.

- The case divides current subscribers as:

Segment	Percentage	Current Subscribers
Minnows	75%	18.75 million
Dolphins	15%	3.75 million
Whales	10%	2.50 million
Total:	100%	25 million

- The proposed prices are:
 - Minnows/Silver:** \$9.99
 - Dolphins/Gold:** \$24.99
 - Whales/Platinum:** \$39.99
- The case assumes:
 - Minnows grow **25%**
 - Dolphins grow **10%**

- 10% of current Whales leave or downgrade to Gold
- Therefore, 90% of Whales remain Platinum.

1. New Subscriber numbers

New Subscriber numbers	Calculations Written out	Result
Minnows	$18.75\text{M} * 1.25 =$	23.4375
Dolphins	$3.75\text{M} * 1.10 =$	4.125
	Then 10% of Whales move to Gold:	
	$2.5\text{M} * 10\% =$	0.25M
	$4.125\text{M} + 0.25\text{M} = 4.375\text{M}$ Dolphins	
Whales	$2.5\text{M} * 10\% =$	0.25

Minnows: $18.75\text{M} \times 1.25 = 23.4375\text{M}$

Dolphins: $3.75\text{M} \times 1.10 = 4.125\text{M}$

Then 10% of Whales move to Gold:

$2.5\text{M} \times 10\% = 0.25\text{M}$ (Number who downgrade, not who remain whales)

$4.125\text{M} + 0.25\text{M} = 4.375\text{M}$ **Dolphins**

Whales Remaining: $2.5\text{M} \times 90\% = 2.25\text{M}$

2: Monthly revenue

Monthly revenue	Calculations Written out	
Minnows	$23.4375\text{M} * \$9.99$	\$234.14M
Dolphins	$4.375\text{M} * \$24.99$	\$109.33M
Whales	$2.25\text{M} * \$39.99$	\$89.98M

Total	$\$234.14\text{M} + \$109.33\text{M} + \$89.98\text{M}$	$\$433.45\text{M/month}$
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Minnows: $23.4375\text{M} \times \$9.99 = \234.14M

Dolphins: $4.375\text{M} \times \$24.99 = \109.33M

Whales: $2.25\text{M} \times \$39.99 = \89.98M

Total: $\$234.14\text{M} + \$109.33\text{M} + \$89.98\text{M} = \433.45M/month

Current model: $25\text{M} \times \$14.99 = \374.75M/month

Incremental monthly revenue: $\$433.45\text{M} - \$374.75\text{M} = \$58.70\text{M}$

Annualized: $\$58.70\text{M} \times 12 = \text{approximately } \$704.4\text{M additional annual revenue.}$

Insights:

That's a **substantial** increase.

This looks attractive financially, **but there is a major risk.**

The model makes money by charging the heavy users much more:

- Current Whale price = \$14.99
- Proposed Platinum = \$39.99

That's a HUGE increase.

The case specifically warns that Whales might reject the new model because they're accustomed to unlimited access for a fixed monthly price.

In conclusion,

Based on the projected subscriber changes and pricing, the usage-based model could generate approximately \$704 million in additional subscription revenue. The biggest advantage is that Microsoft would capture more value from high-usage Whales while giving lower-usage customers a cheaper entry price. However, the biggest risk is customer backlash, especially from Whales who would see their monthly price increase substantially. Microsoft could reduce this risk by offering exclusive benefits, discounts, and other incentives to make the higher-priced tiers feel more valuable.

Q3. How much incremental revenue could Microsoft expect if it added member deals and discounts to the usage-based program, based on the higher retention rates of Whales and

Dolphins and the incremental revenues produced by purchases of games through the discount program? Would this be an effective strategy?

The case proposes:

- Dolphins get a **10% discount**
- Whales get a **25% discount**
- Dolphin monthly spending increases from **\$15 → \$20**
- Whale monthly spending increases from **\$30 → \$40**
- Whale retention increases from **90% → 95%**
- Dolphin growth increases from **10% → 15%**
- Minnow growth stays at **25%**

New Dolphins:

- $3.75\text{M} * 1.15 = \mathbf{4.3125\text{M}}$
- Plus 5% of Whales remaining in the Gold tier:
 - $2.5\text{M} * 5\% = \mathbf{0.125\text{M}}$
- **4.4375M Dolphins**

New Whales:

- $2.5\text{M} * 95\% = \mathbf{2.375\text{M}}$

Subscription Revenue:

- Minnows:
 - $23.4375\text{M} * \$9.99 = \mathbf{\$234.14\text{M}}$
- Dolphins:
 - $4.4375 * \$24.99 = \mathbf{\$110.89\text{M}}$
- Whales:
 - $2.375 * \$39.99 = \mathbf{\$94.98\text{M}}$

Dolphins' spending increases from **\$15 → \$20**

Whales spending increases from **\$30 → \$40**

The question asks for **incremental revenues produced by purchases of games**, we should use the **increase**, not the entire \$20/\$40.

Dolphins:

- $\$20 - \$15 = \mathbf{\$5 \text{ incremental spending}}$

Whales:

- $\$40 - \$30 = \$10$ incremental spending

Microsoft receives **30%** of game-store revenue because publishers receive 70%

1. Dolphin game-purchase revenue

- We have **4.4375 million Dolphins**
- Incremental spending per Dolphin = **\$5/month**
- Microsoft's share = **30%**
- $4.4375\text{M} * \$5 * 30\% = \6.65625M/month
- **Annual:**
 - $\$6.65625\text{M} * 12 = \79.875M/year
 - **Dolphins = \$79.875M incremental annual revenue**

2. Whale game-purchase revenue

- We have **2.375 million Whales**
- Incremental spending per Whale = **\$10/month**
- Microsoft's share = **30%**
- $2.375 * \$10 * 30\% = \7.125M/month
- **Annual:**
 - $\$7.125\text{M} * 12 = \85.5M/year
 - **Whales = \$85.5M incremental annual revenue**

3. Total incremental game-purchase revenue

- $\$79.875\text{M} + \$85.5\text{M} = \$165.375\text{M}$
- **\$165.375M additional game-purchase revenue**

4. Combine with subscription revenue

- **Already Have: \$783.12M/year** = Approximately **\$783.12M** in incremental annual subscription revenue, **additional subscription revenue compared with the original \$14.99 model**
- $\$783.12\text{M} + \$165.375\text{M} = \$948.495\text{M}$
- **Total: \$948.495M/year**

5. Total estimated incremental annual revenue

- **~ \$948.50 million**

Subscription revenue increase: **\$783.12M/year**

Incremental game-purchase revenue: **\$165.375M/year**

Total incremental revenue: **\$948.495M/year**

Game Purchase Revenue	Dolphins	Whales
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New customers	4.4375M	2.375M
Current monthly spending	\$15	\$30
New monthly spending	\$20	\$40
Incremental spending	\$5	\$10
Microsoft's share	30%	30%
Incremental monthly revenue to Microsoft	\$6.65625M	\$7.125M
Incremental annual revenue	\$79.875M	\$85.5M

Q3 Revenue	Amount
Incremental subscription revenue	\$783.12M
Incremental game-purchase revenue	\$165.375M
Total incremental revenue	\$948.495M

Analysis:

The question also asks: **Would this be an effective strategy?**

I would say **yes, potentially**, and here's the reasoning why:

- It increases **retention**, especially for whales.
- It increases Dolphin growth from **10% → 15%**.
- The discounts encourage customers to spend more on games.
- Microsoft gets another revenue stream from those purchases.
- The strategy generates approximately **\$948.5M in incremental annual revenue under the case assumptions.**
- Microsoft must consider the **cost of providing the discounts** and the possibility that customers could still leave.
- I would conclude it is more attractive than simply raising prices because customers are getting **additional value** in exchange for paying more.

Based on my calculations, adding member deals and discounts to the usage-based program could generate approximately \$948.5 million in incremental annual revenue. About \$783.1 million would come from subscription revenue, while approximately \$165.4 million would come from additional game purchases. I think this could be an effective strategy because the discounts give customers an additional reason to remain subscribed and spend more on games. It also helps address the risk of losing Whales because they receive additional benefits in exchange for being in the higher-priced tier. However, Microsoft would still need to consider the cost of the discounts and whether the additional revenue is enough to offset those costs.

Q4. Calculate the incremental revenues from implementing the Xbox Rewards loyalty program. (Remember to account for the increase in customer lifetime value and offset it against the redemption cost of reward points.) Based on your analysis, how do you think segment-level revenues and profits differ between loyalty- and usage-based pricing programs?

Loyalty Program analysis:

The loyalty program changes churn from:

Segment	Current Churn	New Churn
Minnows	5%	4.5%
Dolphins	4%	3%
Whales	3%	2%

The case defines customer lifetime as essentially 1/monthly churn

Lifetime monthly numbers:

Segment	Current Lifetime	New Lifetime	Increase
Minnows	20 months	22.22 months	+2.22 months
Dolphins	25 months	33.33 months	+8.33 months
Whales	33.33 months	50 months	+16.67 months

The reward structure is 10,000 Welcome Points, 1 point per minute played, and 20,000 Anniversary Points for every 12 months. Points redeem at **2,000 points = \$1**.

1. Incremental subscription revenue

- We're using the original **\$14.99/month** subscription because the loyalty program doesn't change the price.
- **Minnows:**
 - $18.75\text{M subscribers} * \$14.99 * 2.22 \text{ additional months}$
 - 623.95875M
 - Rounded: **\$623.96M**
- **Dolphins:**
 - $3.75\text{M} * \$14.99 * 8.33 \text{ additional months}$
 - $3.75 * 14.99 * ((1/3\%) - (1/4\%)) = 468.4375$
 - Current dolphin lifetime: $1 / 4\% = 25 \text{ months}$
 - New dolphin lifetime: $1 / 3\% = 33.3333 \text{ months}$
 - Increase:
 - a. $33.3333 - 25 = 8.3333$
 - Revenue:
 - a. $3.75\text{M} * \$14.99 * 8.3333 = \468.4375M
 - Rounded: **\$468.44M**
- **Whales:**
 - $2.5\text{M} * \$14.99 * 16.67 \text{ additional months}$
 - $2.5\text{M} * \$14.99 * 16.67 = 624.70825$
 - Rounded: **\$624.71M**
- **Total additional subscription revenue:**
 - $\$623.96\text{M} + \$468.44\text{M} + \$624.71$
 - $\$623.96\text{M} + \$468.44\text{M} + \$624.71 = \1717.11M
 - **\$1,717.11 million incremental subscription revenue**

2. Calculate reward costs

- Because **2,000 points = \$1**, we can convert the rewards into dollar costs.
- The case gives us average usage of:
 - Minnows = **1,000 minutes/month**
 - Dolphins = **2,000 minutes/month**
 - Whales = **7,200 minutes/month**
- **Welcome Points**
 - $10,000 / 2,000 = \$5$
 - Every subscriber gets approximately **\$5 of reward value** from Welcome Points.
- **Play Points**
 - Since its 1 point per minute:
 - **Monthly minutes / 2,000 = monthly reward cost**
 - Minnow: $1,000 / 2,000 = \$0.50/\text{month}$
 - Dolphin: $2,000 / 2,000 = \$1/\text{month}$
 - Whale: $7,200 / 2,000 = \$3.60/\text{month}$

- **Anniversary Points**
 - $20,000 / 2,000 = \text{\$10 per anniversary}$
 - The new customer lifetimes are:
 - Minnows: 22.22 months → **1 anniversary**
 - Dolphins: 33.33 months → **2 anniversaries**
 - Whales: 50 months → **4 anniversaries**

3. Total reward cost per customer

- **Minnow:**
 - Welcome = \$5
 - Play = $1,000 * 22.22 / 2,000 = \text{\$11.11}$
 - Anniversary = \$10
 - **Total = \$26.11 per Minnow**
 - $18.75\text{M} * \$26.11 = 489.5625$
 - **Rounded: \$489.56M**
- **Dolphin:**
 - Welcome = \$5
 - Play = $2,000 * 33.33 / 2,000 = \text{\$33.33}$
 - Anniversary = \$20
 - **Total = \$58.33 per Dolphin**
 - $3.75\text{M} * \$58.33 = 218.7375$
 - **Rounded: \$218.74M**
- **Whale:**
 - Welcome = \$5
 - Play = $7,200 * 50 / 2,000 = \text{\$180}$
 - Anniversary = \$40
 - **Total = \$225 per customer**
 - $2.5\text{M} * \$225 = 562.50$
 - **Rounded: \$562.50M**

4. Total reward cost

Segment	Reward Cost
Minnows	\$489.56M
Dolphins	\$218.74M
Whales	\$562.50M
Total	\$1,270.80M

5. Subtract reward costs

- We have:

- **Incremental subscription revenue:** \$1,717.11M
- Reward cost: - \$1,270.80M
 - Minnows = \$489.56M
 - Dolphins = \$218.74M
 - Whales = \$562.50M
- $1717.11 - 1270.80 = \mathbf{446.31M}$
- **Net incremental revenue: approximately \$446.31 million**

6. Segment-Level Results

Segment	Incremental Revenue	Reward Cost	Net Incremental Revenue
Minnows	\$623.96M	\$489.56M	\$134.40M
Dolphins	\$468.44M	\$218.74M	\$249.70M
Whales	\$624.71M	\$562.50M	\$62.21M
Total	\$1,717.11M	\$1,270.80M	\$446.31M

Analysis:

This tells us that **whales aren't necessarily the most profitable segment under the loyalty program.**

Whales have the largest increase in customer lifetime, which creates substantial additional subscription revenue. However, they also use **7,200 minutes per month**, so they accumulate significantly more Play Points. This results in much higher reward costs.

- **Usage-based pricing:** whales are the strongest opportunity because they are the heaviest users.
- **Loyalty program:** Dolphins produce the **highest net incremental revenue** at approximately **\$249.70M**.
- **Minnows:** produce a positive but smaller net gain.
- **Whales:** generate substantial additional revenue, but their high reward costs significantly reduce their net benefit.

This calculation assumes reward costs are based on the points earned over the new customer lifetime and that the rewards are ultimately redeemed. Since the case states that unvested points are forfeited when customers cancel, actual realized reward costs could be lower.

Net Incremental Revenue from Xbox Rewards = **\$446.31M**